

The Chokepoint That Moved the World

The Cascading Exposures Most Firms Haven't Mapped Yet

Updated 6 April 2026

The Strait of Hormuz remains effectively closed to Western commercial shipping as of April 6, 2026. Five weeks after US-Israeli strikes triggered the most severe energy supply disruption since 1973, roughly 20% of global oil, 20% of global LNG, and one-third of globally traded fertilizer have been simultaneously removed from international markets. Brent crude physical prices hit \$141 per barrel on April 2 — the highest since 2008. QatarEnergy has extended force majeure through mid-June and confirmed three-to-five years of infrastructure repairs at Ras Laffan. Aviation fuel has doubled in price, grounding flights across Southeast Asia and threatening the summer travel season across Europe and the Asia-Pacific. The IEA has warned that April will be worse than March. None of the mechanisms deployed to calm markets has proved sufficient.

This report is not investment advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy.

Executive Summary

The 2026 Hormuz crisis has now been running for five weeks and shows no sign of resolution. What began as the most severe energy supply disruption since 1973 has widened into simultaneous crises across energy, food, fertilizer, petrochemicals, aviation fuel, and emerging-market finance. The crisis has moved decisively from acute shock into what now appears to be a protracted structural disruption. Every escalation scenario analysts warned about in early March is materializing.

- **The strait remains closed and the conflict is escalating.** Six weeks in, commercial tanker traffic is down ~90%. Trump set an April 6 deadline for strikes on Iranian energy infrastructure. The UNSC is deadlocked. Iran and Oman are negotiating a transit protocol that amounts to Iranian sovereignty over the strait.
- **Energy markets are in an escalating crisis trajectory, not recovering.** Physical Brent hit \$141/bbl on April 2 — the highest since 2008 and a \$32 spread over futures, signaling extreme physical scarcity. The IEA has warned April will be worse than March. Macquarie warns of \$150+ under prolonged closure.
- **Qatar LNG damage is a multi-year structural problem.** The March 18–19 Iranian missile strikes caused damage QatarEnergy has assessed at 3–5 years to repair. Force majeure has been extended through mid-June. The pre-crisis narrative of an impending LNG supply glut has completely inverted.
- **The fertilizer shock has locked in agricultural damage.** Urea at \$700–720/MT. The South Asian kharif planting season procurement window is closing with no adequate alternative supply. The WFP projects 45 million additional people pushed into acute hunger by mid-2026.

- **Aviation fuel is the next chokepoint.** Jet fuel has doubled to ~\$197/bbl, surpassing the Ukraine war peak. Southeast Asian carriers are cutting routes through September. European airports face dry-out risk within weeks. The summer travel season is directly at risk. Air freight for agricultural exporters including New Zealand and Australia is acutely exposed.
- **Financial infrastructure is under severe strain.** The Indian rupee hit a record low of 95.20/USD; the Korean won broke 1,500. Gold is at \$4,720+/oz. The IMF, IEA, and World Bank have activated a joint crisis mechanism. An emergency IMF intervention is under active discussion.

Key Findings

1. Six weeks in, escalation continues and no exit is visible

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Military operations have intensified since March 16. Operation Epic Fury has struck approximately 6,000+ targets. On March 19, the US launched a dedicated Hormuz campaign using A-10 jets and Apache gunships against IRGC watercraft and drones. Israel assassinated IRGC Navy Commander Alireza Tangsiri on March 26. Despite these operations, Iran maintains effective control through mines, drone strikes on 21+ commercial vessels, and a declared closure to vessels transiting to or from US, Israeli, or allied ports. Iran's new Supreme Leader Mojtaba Khamenei (elected March 8) has remained largely out of public view. Iran rejected Trump's 15-point peace plan on March 25, presenting five counter-conditions including sovereignty over the strait and war reparations assessed by the UN at \$63 billion. Iran's Foreign Minister: "We do not accept a ceasefire. We will end the war at a time of our own choosing."

Iran has implemented a selective transit regime rather than a total blockade. Vessels from China, Russia, India, Iraq, Pakistan, Malaysia, Thailand, and the Philippines are permitted passage after submitting cargo manifests to IRGC-approved intermediaries, with reported transit fees of up to \$2 million per crossing. Shadow fleet ships account for the majority of transits. Iran's parliament is moving to legislate this toll system permanently. As of April 3, at least one Western-owned vessel – the CMA CGM Kribi, owned by France's CMA CGM – has transited the strait, the first major Western shipping line vessel known to have done so since the war began, using a route close to the Iranian coast. Three Omani-linked vessels have also transited via the Omani coastal route. These are isolated incidents, not a resumption of normal Western commercial traffic.

Diplomatic channels remain active but unproductive. Oman is the most critical mediator; as of April 2–3, Iran and Oman are drafting a joint protocol to "monitor transit" through the strait, which critics characterize as an Iranian sovereignty claim. The UK convened 40+ nations on April 2 to discuss reopening Hormuz; the US did not participate. A Bahrain-drafted UNSC resolution authorizing defensive military action is scheduled for a vote on April 5, facing probable Russian and Chinese vetoes. Trump set an April 6 deadline for potential strikes on Iranian energy infrastructure. Secretary of State Rubio outlined four US objectives: destruction of Iran's air force, navy, missile capability, and manufacturing capacity. An additional 2,500 Marines trained for amphibious landings have been deployed to the region.

2. Energy prices are in an escalating crisis trajectory, not recovering

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Physical dated Brent hit \$141.37/bbl on April 2 — the highest since 2008 and a \$32 spread over futures, signaling extreme physical market tightness. WTI briefly surpassed Brent, inverting the normal global benchmark structure. European TTF has reached €58/MWh. IEA Director Birol warned on April 1 that “April will be much worse than March” and that a second emergency release may be needed. The IRGC has stated publicly that it will not allow “a single liter of oil” through the strait and warned of a \$200/bbl price tag.

\$141 Brent (physical, Apr 2)	€58 European TTF gas/MWh	~\$20 Asian LNG JKM/MMBtu	\$5.43 US diesel/gallon (Apr 1)
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The IEA’s 400-million-barrel emergency reserve release — the largest coordinated release in its 50-year history — has proved insufficient. At approximately 1.4 million bpd, it covers roughly 15% of the ~9–10 million bpd blocked by the Hormuz closure. OPEC+ agreed on March 1 to raise output by 206,000 bpd for April, but Iraq and Kuwait have been forced to shut in production because Gulf storage has maxed out. Geopolitical strategist Marko Papic estimates effective supply loss will double from 4.5–5 million bpd to ~9–10 million bpd by mid-April as storage fills. Goldman Sachs modelled Brent averaging \$105 in March and \$115 in April; a decline to \$80 in Q4 is projected only if Hormuz opens by mid-April.

⚠ CRITICAL GAP

Saudi Arabia’s East-West Pipeline has been maxed out at 7 mb/d — a 45-year-old contingency now fully activated for the first time. The UAE’s ADCOP pipeline runs at ~71% utilization. Iraq’s Kirkuk-Ceyhan pipeline reactivated at 250,000 bpd on March 18 after a decade idle. Combined bypass capacity is approximately 8.5–9 mb/d — less than half the ~20 mb/d that normally transits Hormuz. No bypass exists for refined products, LNG, fertilizers, or petrochemicals. Iraq’s production collapsed to 1.4 mb/d from 4.2 mb/d as Basra export storage maxed out.

3. Qatar’s shutdown is now a multi-year structural problem

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A second, more devastating wave of Iranian ballistic missile strikes on March 18–19 caused extensive structural damage to LNG Trains 4 and 6 at Ras Laffan, with combined capacity loss of 12.8 mtpa. QatarEnergy has assessed that these facilities will take 3 to 5 years to repair. Force majeure has been extended: QatarEnergy notified Italian buyer Edison on March 30 that it cannot fulfil 10 LNG cargoes from April through approximately mid-June. The North Field East expansion has been delayed by over a year. QatarEnergy and ExxonMobil’s Golden Pass LNG in Texas achieved first production on March 30, but its eventual 18.1 mtpa capacity replaces only a fraction of Qatar’s 77 mtpa.

QatarEnergy ceased all LNG production at Ras Laffan and Mesaieed on March 2 after the initial Iranian drone strikes. The subsequent March 18–19 strike wave has fundamentally changed the nature of the problem: this is no longer a question of when hostilities cease, but of multi-year industrial reconstruction.

Energy Minister Al-Kaabi: “For production to restart, first we need hostilities to cease”, with years of rebuilding to then follow. Robin Mills of Qamar Energy estimates it will take approximately three years for the US alone to replace Qatari LNG.

Cascading force majeure has propagated across the supply chain: Shell and TotalEnergies received formal notices in early March; Petronet LNG in India passed FM to GAIL, Indian Oil Corporation, and Bharat Petroleum; OQ in Oman declared FM to Bangladesh. Global LNG exports fell to 8.15 million tons per week by late March — a six-month low. The pre-crisis narrative of an impending 2026–2027 LNG supply glut has completely inverted to a multi-year structural deficit.

4. The fertilizer shock is locking in irreversible agricultural damage

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Urea prices have risen from ~\$480/MT pre-war to \$700–720/MT FOB Middle East — a 50% increase. China has maintained and tightened fertilizer export restrictions, with 50–80% of export volumes now restricted, unlikely to be lifted before August 2026. Russia has emerged as the primary alternative supplier, already pre-selling to Nigeria and Ghana for Q3 2026. FAO Chief Economist Torero: “Even if the strait reopened tomorrow, the damage to the 2026 planting cycle is already partially locked in”. The WFP projects the crisis could push 45 million additional people into acute hunger by mid-2026. There are no strategic fertilizer reserves analogous to oil SPRs.

The country-level picture has deteriorated since mid-March. In Bangladesh, four of five state-owned urea factories have shut due to gas shortages; BCIC cancelled two tenders for 200,000 tons because Middle Eastern suppliers cannot deliver. In Pakistan, 78 mmcf/d of LNG supply to the fertilizer sector has been suspended. In India, IFFCO has scaled back domestic urea output as imported LNG feedstock costs became prohibitive; the government has removed customs duty on ~40 key chemicals (April 2 through June 30). India holds 6.15 million tons of urea in reserve. Goldman Sachs has cut India's 2026 GDP growth forecast to 5.9%, down from a pre-war projection of 6.9–7%, having already reduced it once to 6.5% on March 13 -- a cumulative reduction of over 100 basis points across two revisions in eleven days. It has raised its India inflation forecast to 4.6%, up from 3.9% before the conflict.

Sub-Saharan Africa — where over 90% of fertilizer is imported — faces acute exposure across Sudan, Tanzania, Somalia, Kenya, Nigeria, and Ethiopia. Windward maritime intelligence reports that 86% of fertilizer ships from the Persian Gulf to East Africa have ceased operations. Brazil imports ~85% of its fertilizer with over 40% of urea typically transiting Hormuz. The World Bank estimates every 1% increase in fertilizer prices pushes global food prices up by approximately 0.45%.

5. Petrochemical supply chains are fracturing across Asia

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As of early April, 31+ force majeure or sales allocation announcements have been recorded for chemicals in Asia and the Middle East. Northeast Asian cracker utilization has fallen to approximately 60%, with further cuts to 53–55% projected for April. Naphtha prices have surged from \$637/MT pre-war to approximately \$1,050–1,300/MT. Ethylene prices in Northeast Asia surged from ~\$700/MT to approximately \$1,280/MT — an 80% increase in three weeks. Polymer prices are up 41–42% across the board. US ethane-based producers are running at 90–100% utilization and are the primary beneficiaries of this asymmetric feedstock advantage.

Asian steam crackers source more than 60% of naphtha feedstock from the Middle East. Middle East naphtha deliveries to Asia fell approximately 85% in March to only ~557,000–583,000 tons against a normal ~4 million metric tons per month. South Korea imposed a five-month ban on naphtha exports to redirect domestic supply.

Major force majeure include: CSPC (shut a 1.2 million tpy ethylene cracker at Huizhou); Zhejiang Petrochemical (shut a 200,000 bpd unit); Wanhua Chemical (FM on TDI and MDI); LG Chem (shut No.2 naphtha cracking center at Yeosu, 800,000 tpy); YNCC (running at minimum); Lotte Chemical and KPIC (cut run rates); Formosa Petrochemical (FM on ethylene and propylene); Chandra Asri (Indonesia); Rayong Olefins (Thailand); Hyosung Vina (Vietnam); Aster Chemicals (Singapore).

The downstream consequences of this feedstock disruption extend far beyond the petrochemical sector itself. Ethylene and propylene are the base inputs for polyethylene and polypropylene -- the plastics used in packaging, food containers, medical devices, automotive components, and construction materials. Naphtha-derived benzene feeds into synthetic fibers, rubber, and adhesives. TDI and MDI, on which Wanhua has declared force majeure, are the primary inputs for polyurethane foam used in furniture, mattresses, insulation panels, and car seating. A sustained reduction in Asian cracker output therefore propagates upstream across virtually every consumer goods, automotive, construction, and healthcare supply chain that sources from Asian manufacturers – which is to say, most of them. Firms that have modelled their petrochemical exposure only at tier-1 supplier level are almost certainly underestimating it.

The arbitrage between US ethane-based and Asian naphtha-based production has widened to over \$1,200/MT.

6. Financial contagion is spreading rapidly through emerging markets

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The oil-EM currency correlation has reached its most negative reading in at least 27 years (-0.34 on a 120-day rolling basis). The Indian rupee hit a record low of 95.20/USD; the RBI has spent over \$100 billion in forex reserves trying to slow the decline. The Korean won broke 1,500/USD for the first time since 2009. Indonesia has adopted a hawkish hold. The Turkish central bank halted its easing cycle. Gold has surged to \$4,720–\$4,748/oz. The IMF, IEA, and World Bank have activated a joint crisis mechanism and are in “intense talks” with Pakistan, Indonesia, and Bangladesh for emergency financial assistance.

Goldman Sachs estimates the supply-driven oil price jump adds approximately 0.7 percentage points to inflation across emerging Asia while knocking 0.5 points off growth. Citigroup has warned a prolonged shock could “aggressively de-anchor” inflation expectations in emerging markets. UNCTAD projects global merchandise trade growth slowing from ~4.7% in 2025 to 1.5–2.5% in 2026. CSIS analyst Robert McNally: “A prolonged closure of the Strait of Hormuz is a guaranteed global recession.” World Bank Managing Director Paschal Donohoe stated on April 1–3 that the Bank is in intense talks with Pakistan, Indonesia, and Bangladesh for emergency financial assistance, though agreements are not expected for “a number of weeks.”

7. This crisis reveals the architecture of systemic vulnerability

The most important analytical finding from the Hormuz crisis is not the scale of the immediate disruption but what it reveals about the structure of global commodity supply chains. Roughly 20% of oil, 20% of LNG, 33% of fertilizer, and significant shares of petrochemicals, aluminum, and helium all funnel through a passage 33 kilometers wide. This is not an accident of geography — it is the consequence of decades of supply chain optimization that prioritized cost efficiency over systemic resilience.

The most underappreciated lesson remains that financial infrastructure failed before physical blockade. The withdrawal of P&I war-risk insurance before Iran could physically enforce any closure created an economic blockade through the insurance market. The Lloyd's Market Association clarified on March 23 that 88% of Lloyd's marine war syndicates retain appetite to underwrite hull war risks — but crews will not sail into an active warzone regardless of financial protection. The DFC-Chubb \$20 billion reinsurance facility has not resulted in significant resumption of Western-linked commercial traffic.

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A second underappreciated dimension has emerged: Iranian cyber operations have extended the conflict into critical infrastructure. Iran-linked group Handala attacked US medical device maker Stryker Corp on March 11, disrupting manufacturing and shipping. Jordan's National Cybersecurity Center confirmed and blocked an Iranian cyberattack on its national wheat silo management system — the first government-confirmed OT intrusion attempt targeting food infrastructure. Over 1,100 ships have experienced GPS/AIS disruption across Gulf waters. CISA activated "Shields Up" guidance. Supply chain resilience planning must now account for cyber risk to physical logistics systems alongside financial and physical infrastructure risk.

8. Aviation fuel is the next chokepoint

Jet fuel has more than doubled in price since the war began. According to IATA data, aviation fuel reached \$197 per barrel in the week ending March 20, 2026 – up from approximately \$96 per barrel in mid-February and already past the Ukraine war peak of ~\$180 per barrel in 2022. US prices hit a record \$4.62 per gallon as of early April, an 85% increase since the war began. Jet fuel has risen faster than crude because refined products like aviation fuel have no Hormuz bypass and limited storage flexibility. Refineries cutting output to preserve efficiency have compounded tightness further up the value chain.

\$197 Jet fuel (Mar 20, IATA)	\$4.62 US jet fuel/gallon	+105% Increase since Feb 27	20–60d SE Asia fuel reserves
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Southeast Asia: most exposed, least buffered

The Strait of Hormuz normally carries 60–80% of Southeast Asia's oil imports. Southeast Asian countries hold far thinner reserves than Northeast Asian peers: Thailand has approximately 60 days of jet fuel; Cambodia, Indonesia, and Vietnam hold just 20–23 days. The Philippines, which imports 98% of its oil from the Middle East, declared a national state of energy emergency on March 24 — the first country in the world to do so. Vietnam announced plans to procure approximately 4 million barrels of crude from non-Middle Eastern sources, which analysts assessed as equivalent to approximately six days of national consumption, placing Vietnam at high risk of fuel shortages without additional inflows.

Regional resupply options are being cut off simultaneously. Thailand has banned oil exports except to Cambodia and Laos. China has ordered state-owned companies to suspend fuel exports to conserve

domestic supply. These restrictions create a cascading problem: the countries most exposed to Hormuz-linked shortages are losing the regional backstops they would normally rely on.

Carrier-level impact: routes cancelled through September

The carrier-level impact is concrete and widening. Air New Zealand has cut 1,100 flights through early May 2026. Airlines across South Korea, Singapore, Vietnam, India, Hong Kong, and Thailand have cancelled thousands of flights through early May. Vietnam Airlines suspended 23 weekly flights from April 1. Malaysia's aviation authority warned on March 24 that capacity cuts are imminent. Singapore Airlines has imposed fuel surcharges on long-haul routes. Cathay Pacific's CEO stated the carrier's fuel cost in March was double the average of the prior two months; AirAsia has raised ticket prices and fuel surcharges; Thai Airways expects airfares to increase 10–15%; Cebu Pacific raised fares 20–26% through May. Several Asian airlines have cancelled routes until as far out as September because of reliance on Persian Gulf fuel.

The simultaneous closure of both Hormuz and the Red Sea compounds the problem. Russian airspace closures already force airlines to burn 15–20% more fuel on Asia–Europe routes. The dual pressure — restricted supply and higher consumption per flight — is unprecedented. Gulf hub disruption adds a further layer: Dubai, Doha, and Abu Dhabi function as connecting points for flights between Europe, Africa, and Asia; approximately 30–32% of all freight moving between Europe and Southeast Asia passes through Middle Eastern hubs.

European airports: weeks from dry-out

IATA has warned that European jet fuel security is resting on a razor-thin margin of commercial inventory, with major European airport hubs beginning to inform airlines to prepare for emergency dry-out scenarios. Major UK-based carriers have said they have between five and six weeks' worth of supplies before reserves begin to run short. The UK's Financial Times reported no Britain-bound fuel cargoes visible on the water. Ryanair's CEO warned that a quarter of its fuel supply is under threat. United Airlines, becoming the first major US carrier to scale back, has cut approximately 5% of its planned flights for Q2 and Q3 2026. The 20 biggest listed airlines have lost approximately \$53 billion in market value since the war started.

Air freight: the exposure most supply chains haven't mapped

For firms with supply chains dependent on air freight — pharmaceuticals, electronics, perishables, and high-value manufactured goods — this is not a passenger inconvenience story. It is a logistics crisis with direct operational consequences. Approximately 30–32% of all freight between Europe and Southeast Asia moves through Middle Eastern hubs that are now disrupted.

Agricultural exporters in New Zealand and Australia are among the most acutely exposed. Both countries depend heavily on Asian air cargo corridors to move time-sensitive perishables — meat, seafood, dairy, and horticultural products — to premium markets in Japan, South Korea, China, and Southeast Asia. These routes are now facing double pressure: higher fuel costs that narrow or eliminate margins on perishable air freight, and capacity cuts by carriers who are prioritizing trunk routes over regional connections. Australia holds approximately 29–36 days of fuel reserves; fuel price surges feeding through to diesel and road logistics are compounding the pressure on agricultural supply chains beyond the airport.

⚠ CRITICAL GAP

Most Asian carriers outside China cannot rely on state backstops of the kind that insulate Chinese airlines from domestic fuel supply constraints. Most have hedging programs that will expire well before any realistic Hormuz reopening timeline. When those contracts roll off at spot prices of \$197/bbl or higher, the next round of capacity cuts will be substantially larger than what has been announced so far. The summer 2026 travel booking window is closing now. Capacity decisions being made in April will determine what is available to passengers and cargo customers for June through September.

Forward-Looking Implications

Near Term (0–4 weeks)	Energy prices remain elevated with material upside risk if the Trump administration follows through on strikes against Iranian energy infrastructure. The UNSC vote fails or produces a non-binding resolution. The Iran-Oman transit protocol, if finalized, provides a trickle of additional flow without restoring market function. South Asian fertilizer shortages intensify as kharif planting procurement windows close. European airports begin implementing emergency fuel conservation measures. Asian petrochemical capacity continues at 53–60% utilization with further force majeure probable. Aviation capacity cuts deepen as hedging contracts roll off at spot prices.
Medium Term (1–3 months)	If the strait remains closed through May, the fertilizer crisis translates into measurable crop shortfall across South Asia and sub-Saharan Africa, with food price inflation emerging globally by June. Qatar LNG restart requires full conflict cessation plus the beginning of multi-year reconstruction — contracted buyers face a 2026–2028 supply gap, not a 2026 gap. European gas storage injection season begins at critically low levels, creating severe autumn supply risk. Aviation capacity for the summer travel season is materially reduced across Asia-Europe and Australia-Asia corridors. EM central bank interventions intensify; IMF emergency assistance agreements are reached with the most exposed economies.
Long Term (3+ months)	If the strait reopens within this window, recovery is structurally uneven. Qatar LNG cannot return quickly regardless — 3–5 years of reconstruction is not a political decision. Long-term LNG contract relationships have been restructured; buyers accelerate diversification toward US and Australian supply. Fertilizer prices normalize but agricultural planting disruption has already locked in yield shortfall. The aviation industry faces a protracted restructuring: Asian carriers with exhausted hedging will cut capacity materially, some regional routes will not return. Structural investment in bypass pipelines, alternative energy routes, and stockpiling accelerates. If the strait remains closed beyond three months, recession risk in major oil-importing economies becomes the base case.

Actionable Takeaways

01. Map your Hormuz exposure beyond energy costs — and beyond tier-1 suppliers.

Every supply chain that touches Middle Eastern crude, refined products, LPG, naphtha, ammonia, urea, methanol, polymers, or aviation fuel has direct Hormuz exposure. The majority of affected firms have modelled energy cost pass-through but have not mapped tier-2 and tier-3 supplier exposure in petrochemicals, fertilizers, packaging, and logistics. The cascade from naphtha to polymer to packaging to consumer goods is already underway. The cascade from jet fuel to air freight capacity to delivery timelines is beginning.

02. Do not assume insurance market recovery tracks physical reopening.

Lloyd's confirmed in March that 88% of marine war syndicates retain underwriting appetite. The reason ships are not moving is crew and vessel safety, not insurance availability. When the conflict ends, insurance will not be the constraint on shipping recovery — but premiums will remain elevated for months after the physical blockade ends, as they did after the 2024 Red Sea crisis. Build insurance cost elevation into supply chain cost models through at least Q4 2026, even under optimistic conflict resolution scenarios.

03. Treat Qatar LNG as offline for planning purposes through 2028 at minimum.

The March 18–19 strike damage has changed the calculation. This is no longer a question of when hostilities cease and recommissioning begins; it is a question of multi-year industrial reconstruction. Al-Kaabi has stated restart requires complete conflict cessation as a precondition, after which 3–5 years of repairs follow. Contracted buyers should be securing long-term alternatives now. US Gulf Coast LNG, Australian supply, and Norwegian volumes are the available alternatives, but spot markets are tight and long-term offtake terms will deteriorate as more buyers rush for the same supply.

04. For firms with agricultural supply chain exposure, the kharif window is closing.

South Asian procurement for kharif planting typically completes by May. Fertilizer stranded in the Gulf cannot be rerouted fast enough to reach South Asian buyers before planting deadlines. Firms with exposure to South Asian agricultural output — food processors, commodity traders, consumer goods companies — should be modelling crop shortfall scenarios for Q3 2026. Agricultural exporters shipping into South Asian and Southeast Asian markets via air freight should model capacity reduction scenarios for Q2 and Q3.

05. Stress-test petrochemical supply chains against a three-month closure.

Most Asian producers currently operating at reduced capacity or under force majeure were not designed to be resilient against sustained feedstock disruption. If you source polymers, resins, or specialty chemicals from Asian producers, verify their stock positions and alternative feedstock options. US producers with ethane-based cost structures are the most resilient alternatives; model switching costs and lead times now. The arbitrage gap of over \$1,200/MT between US and Asian production economics will persist for as long as naphtha remains constrained.

06. Separate the financial blockade from the physical blockade in your planning.

The insurance market's withdrawal has proven more decisive than Iranian military enforcement in preventing commercial shipping. Monitor P&I coverage availability, war-risk premium trajectories, LMA market announcements, and DFC reinsurance program utilization as leading indicators of when commercial shipping can realistically resume — independently of whether the political situation has formally resolved.

07. Map your air freight exposure and hedge summer travel and cargo capacity now.

Aviation fuel has doubled. Asian carriers outside China have hedging contracts that will expire before any realistic Hormuz reopening timeline; when they roll off at spot prices, capacity cuts will deepen materially. For firms reliant on air freight — particularly perishable agricultural exporters in New Zealand and Australia, pharmaceutical manufacturers, and high-value electronics producers — the window to secure forward capacity at current terms is closing. For travel-dependent businesses, summer 2026 capacity across Asia-Europe and Australia-Asia corridors should be assumed to be materially reduced from normal levels. Capacity decisions being made in April will determine what is available for June through September.

Indicators to Watch

01 Trump's April 6 deadline and strikes on Iranian energy infrastructure

Trump set an April 6 deadline for potential strikes on Iranian energy infrastructure. Any strike on Iranian oil production or refining capacity would dramatically accelerate the price trajectory and could trigger Iranian retaliation against Saudi or UAE infrastructure. Monitor for: US strike announcements; Iranian counter-retaliation signals; Saudi and UAE contingency activation.

02 UNSC vote outcome and coalition military options

The Bahrain-drafted UNSC resolution authorizing defensive military action is scheduled for April 5. A veto by Russia or China — the likely outcome — pushes the 40-nation coalition toward unilateral action or a prolonged standoff. Monitor for: vote outcome; coalition military deployment announcements; any Operation Prosperity Guardian-style escort initiative.

03 Iran-Oman transit protocol terms

Iran and Oman are drafting a joint protocol to “monitor” Hormuz transit. The specific terms — which vessels qualify, what fees apply, and whether Western-linked operators are included — will determine whether this represents a partial reopening or a permanent sovereignty claim. Monitor for: IRNA announcements; shipping industry response; US reaction.

04 P&I war-risk insurance restoration and DFC reinsurance utilization

Commercial shipping cannot resume at scale until crew and vessel safety risk is assessed as manageable, and P&I coverage is in place. Monitor Lloyd’s market announcements, war-risk premium trajectories, and DFC-Chubb reinsurance program utilization rates as leading indicators of when commercial traffic can realistically resume.

05 Qatar LNG damage assessment and repair timeline updates

QatarEnergy’s 3–5 year repair assessment for Trains 4 and 6 is the most consequential single data point for European winter 2026–2027 gas supply security and Asian LNG market balance. Monitor for: updated engineering assessments; contractor mobilization announcements; any revision to force majeure duration.

06 South Asian fertilizer emergency procurement

Government emergency tender announcements from India, Bangladesh, Pakistan, and Indonesia for alternative fertilizer supply. The speed and scale of these tenders — and whether Russia can fulfil them before planting deadlines — will determine the scale of 2026 kharif crop shortfall.

07 Asian carrier hedging contract expiry and capacity announcements

Most Asian carriers outside China have hedging contracts that will expire in Q2 or Q3 2026. When these contracts roll off at spot prices of \$197/bbl or higher, the next round of capacity cuts will be materially larger. Monitor for: airline quarterly earnings announcements; route suspension notices for June–September; IATA weekly passenger and cargo demand data.

08 Southeast Asia fuel reserve drawdown and government rationing measures

Vietnam holds approximately 20 days of fuel reserves; Cambodia and Indonesia are in comparable positions. Monitor for: government rationing announcements; fuel price stabilization fund exhaustion; additional route suspensions by Vietnam Airlines, AirAsia, and regional budget carriers.

The Hormuz crisis is not delivering a new lesson. It is delivering the same lesson supply chain professionals have been told repeatedly since 2020: about COVID-era single-source dependencies, about the Red Sea disruptions of 2024, about the fertilizer shock triggered by Russia’s invasion of Ukraine. The current disruptions are happening at a scale and across a breadth of commodities — now including aviation fuel — that makes the lesson impossible to defer further.

The risk to manage is not that the strait remains closed indefinitely. It will reopen. The risk is that five weeks of disruption to a 33-kilometre passage has simultaneously destabilized energy, food, fertilizer, petrochemical, and aviation supply chains across three continents — and that the Qatar LNG damage now means the gas dimension of this crisis will not resolve when the strait does. Firms and governments that treated geographic commodity concentration as someone else’s problem to solve are now discovering the cost of that assumption in real time.

Sources & References

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